F. No. _____

NOTE FOR APPROVAL

To: Vice-Chairperson, NITI Aayog
Date: 13 October 2026
Subject: **Approval of Year 1 of a proposed five-year Southern Demographic Resilience Pilot**

1. Recommendation

NITI Aayog should approve Year 1 (12 months) of a five-year Southern Demographic Resilience Pilot covering 10 districts, two each in Andhra Pradesh, Telangana, Tamil Nadu, Kerala and Karnataka, because the southern states are ageing faster than India, with over 20% of people in Kerala and Tamil Nadu projected to be 60 or above by 2036 against 15% nationally (India Ageing Report 2023), and the migrant labour filling the gap is unmanaged. The pilot will follow the Aspirational Districts model with state-specific priorities and test four core instruments:

(i) **Increasing local labour productivity, with women at the centre:** apprenticeships linked to industries with high labour demand, safe transport, return-to-work schemes and childcare.

(ii) **One fair labour standard, led by the Ministry of Labour and Employment:** the same contract, skill recognition, common minimum wages and safety rules for locals and migrants, plus a portable worker account built on e-Shram (the national unorganised-worker database) and One Nation One Ration Card.

(iii) **Dignified ageing as an economic opportunity:** creating trained, certified carers with social protection.

(iv) **Destination District Workforce Fund:** funded by the Union, states and employers for better services in districts with a high migrant load.

2. The Problem, Briefly

Southern states face a triple crisis: a growing share of ageing people, slow growth of the native workforce and rising demand for labour. Local youth lack work despite high literacy rates (for example, youth unemployment is 29.9% in Kerala against 10.2% nationally, as per the Periodic Labour Force Survey, PLFS, 2023-24), as migrants from other states fill the demand, arriving without contracts, housing or portable welfare. This leads to urban congestion, informal exploitation of migrants and wage anxiety among locals, which could turn an economic bridge into a political fault line.

3. Evidence and Trade-offs

(i) **Evidence:** In a 2026 survey (SIIMS 2026; indicative, not representative), only 19.4% of 1,824 migrant workers in Tamil Nadu, Kerala and Karnataka could easily access welfare after migrating, and 45.3% faced difficulty.

(ii) **Trade-off:** The main trade-off is cost: formalisation, housing and welfare services will raise short-term costs for states and employers. Locals may see the pilot as favouring migrants, although two of the four core instruments favour residents: skilling opportunities for locals and certified, socially protected care jobs. Employers may evade the rules, and enforcement will take years to reach informal employers.

4. Next Step

Approve Year 1, starting on approval (October 2026), and direct the Ministry of Labour and Employment to lead it. Year 1 involves only costing, baseline surveys and target setting, and requires no new funding.

(i) First, by Month 3, the Ministry will consolidate the existing baseline migrant survey data for Tamil Nadu, Karnataka and Kerala and commission surveys for Telangana and Andhra Pradesh.

(ii) Next, by Month 6, NITI Aayog, the Ministry and the five state governments will jointly select the 10 districts, based on migrant data, labour demand, urban congestion, wage data, skill demand and availability of basic services, cost the pilot and fix the Union-state-employer funding split, using existing secondary data for Telangana and Andhra Pradesh until the surveys report.

(iii) NITI Aayog and the Ministry will set targets at the end of Year 1, and the Vice-Chairperson will approve the costed plan for Years 2-5 by October 2027.

Submitted for approval.

Harini V S

Encl.: Annexure-I (Source references)

ANNEXURE-I

Source references

Annexure to the Note for Approval dated 13 October 2026 on the Southern Demographic Resilience Pilot

1. UNFPA India and International Institute for Population Sciences, India Ageing Report 2023.
2. Ministry of Statistics and Programme Implementation, Periodic Labour Force Survey (PLFS) 2023-24.
3. SIIMS 2026 migrant survey.